

INDIAN ECONOMY

**LEVEL
II**



LECTURES

- WHAT ARE MSMEs?
- PROBLEMS FACED BY MSMEs
- WHAT IS OCEN?

MODULE - 33



SURVEY OF UNINCORPORATED ENTERPRISES 2015-16



This is done for all the industries and services, except construction sector.

- 1 It employed 111 million workers.
- 2 These constituted 84.7% of the total of 131 million workers in all industry and service enterprises identified by the Economic Census 2013-14.
- 3 Own-Account Enterprises (OAEs), which employ no hired workers on regular basis, accounted for 62% of 111 million workers.

LOW VALUE ADDITION ... THE REAL PROBLEM OF MSMEs!

OWN ACCOUNT ENTERPRISES

- Average labour productivity in the Own Account Enterprises is very low.
- Gross Value Added per worker in OAEs was a meagre Rs. 73,951 per year.



ESTABLISHMENT ENTERPRISES

- The corresponding figure for Establishment Enterprises was Rs. 1,52,723.
- Hired workers in these enterprises received total emoluments averaging only Rs. 87,544 per worker per year.



PRESENT CLASSIFICATION OF MSMEs

	Old		In ₹ cr	Proposed	New
	Mfg	Services			
Micro	0.25	0.1	Investment Turnover	1 5	1 5
Small	5	2	Investment Turnover	10 50	10 50
Medium	10	5	Investment Turnover	20 50	50 250

The new definition has done away with the distinction between manufacturing and services units; It has brought in two parameters – investment and turnover – instead of earlier system where investment in plant and machinery was the sole criteria to define MSMEs

PROBLEMS FACED BY MSMEs

- Lack of access to institutional credit
- Delayed payments
- Lack of access to high-end technology
- Closure because of external environment
- Lack of willpower to make them big
- Effect after demonetisation
- Forced migration because of GST
- Not able to compete with cheap Chinese products.
- Compliance burden with several labour laws

MSMEs contribute to more than 28% of the GDP and about 45% to manufacturing output. They provide employment to about 111 million people. The sector's health is crucial to the economy's vitality and well being of the society.

MICRO, SMALL AND MEDIUM ENTERPRISES (MSMEs)

ENTERPRISE

DEFINITION

MICRO

The investment in plant and machinery or equipment does not exceed Rs. 1 Crore and turnover does not exceed Rs. 5 crores.

SMALL

The investment in plant and machinery or equipment does not exceed Rs. 10 crore and turnover does not exceed Rs. 50 crore.

MEDIUM

The investment in plant and machinery or equipment does not exceed Rs. 50 crore and turnover does not exceed Rs. 250 crore.

With effect from 1st July 2020, as part of the AtmaNirbhar Bharat package, this composite-criteria of investment and annual turnover was introduced with identical limits for manufacturing and services sector.

VARIOUS MEASURES TAKEN BY THE GOVERNMENT IN RECENT TIMES TO GIVE THRUST TO MSMEs

- The modified definition of MSMEs will facilitate expansion and growth of these enterprises. The resulting economies of scale can enhance productivity without the MSMEs losing out on several Government incentives.
- This enabling environment will promote competition and avoid dwarfism among MSMEs.
- With the launch of the new Udyam Registration portal in July 2020, the registration process is made fully online, digital, paper less and is based on self declaration. No documents or proof are required.
- Aadhaar and PAN are required for registration, and details on investment and turnover are taken automatically from relevant Government databases.
- The retail and wholesale traders were included under MSMEs, and they are allowed to be registered on Udyam registration portal. However, the benefits to retail and wholesale trade MSMEs are to be restricted to priority sector lending only.
- Street vendors can also register as retail traders on Udyam Registration (UR) portal and avail the benefit of priority sector lending.

IMPORTANT TAKE-OUTS FROM U.K. SINHA EXPERT PANEL RECOMMENDATIONS

5 Setting up of a **Government-sponsored Fund of Funds** to support venture capital / private equity firms **investing** in the **MSME Sector**.



4 **SIDBI** should play the role of a **facilitator** to create platforms, wherein various **venture capital funds** can participate and, in turn, create a **multiplier effect** to provide equity support to **MSMEs**.

MSMEs ARE
THE MAIN
STAY OF
INDIAN
ECONOMY!

1 Establishing a **Rs. 5,000 Cr. Distressed Assets Fund** to make equity investments that help **unlock debt** or revive sick units.

2 Setting up of a **National Council for MSMEs** at the apex level under the chairmanship of the Prime Minister to **ensure multi-sectoral coordination**, as the problems are multi-dimensional.

3 Setting up of a **non-profit Special Purpose Vehicle** to support **crowd-funding**, which is nothing but **raising small amounts** of money from a **large number** of people, typically via the Internet.

IMPORTANT TAKE-OUTS FROM U.K. SINHA EXPERT PANEL RECOMMENDATIONS

9 Banks to switch to cash flow-based lending, especially once the granular data on the borrowings is available.



It is time to revitalize the entire MSME Ecosystem.

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6 SIDBI should deepen credit markets for MSMEs in the under-served regions by providing comfort to lenders, including NBFCs and Micro-Finance Institutions.

7 Mandatory uploading of invoices above a specified amount to an Information Utility. The aim is to name and shame buyers of goods and services from MSMEs to expedite settlements to suppliers.

8 Integrating Government e-Marketplace platform with the Trade Receivables Discounting System to boost liquidity to MSMEs.

WHAT SHOULD BE THE POLICY PRESCRIPTION FOR VIBRANT ECOSYSTEM OF MSMEs?

4 Several unicorns are emerging from the Indian entrepreneur ecosystem and promising MSMEs should be nurtured for scaling up.

3 In the New Age sectors like electric energy, renewables, green tech, wherever possible, MSMEs should be on-boarded with incentives to fill up the gaps.



THE POLICIES
SHOULD
FACILITATE
UPWARD
MOBILITY!



1 MSMEs should have better access to efficient factors of production like proper land acquisition policy, access to capital, vibrant entrepreneurial culture, inculcation of modern technological tools with the government support.

2 Since India has a comparative advantage in services sector, at least promising MSMEs may be reoriented in this direction to enhance export of services.

WHAT SHOULD BE THE POLICY PRESCRIPTION FOR VIBRANT ECOSYSTEM OF MSMEs?



7 Necessary financial/digital education to make use of digital channels, including TReDS platform for speedy realization of their receivables, is the need of the hour.

THE POLICIES SHOULD FACILITATE UPWARD MOBILITY!

5 There should be a virtual platform exhibiting crafts, handlooms and the frugal innovations of MSMEs, to reach out to the broader National and International markets.

6 We can emulate the best practices of advanced countries/emerging economies.

A resilient and healthy MSME sector is essential for achieving the goal of self-reliant India!



MSME

MICRO, SMALL & MEDIUM ENTERPRISES

सूक्ष्म, लघु एवं मध्यम उद्यम

सत्यमेव जयते

WHAT DO YOU KNOW ABOUT MSME CHAMPIONS PORTAL?

- MSME Champions portal is an ICT based technology system for making the smaller units big by helping and hand holding them. Network of control rooms is created in a hub and spoke model, where hub is situated in the Ministry of MSME, New Delhi.
- 68 spokes are located across the country in various offices and institutions of the Ministry.



- The key features of the portal include
 - ✓ Information dissemination on recent developments in MSME sector.
 - ✓ Resolving the grievances in a fast-track manner.
 - ✓ Program wise mapping of officials for fast-track responses of grievances.
 - ✓ Integration with various portals, such as MSME SAMADHAAN, Udyam Registration etc.



WHY THE PRESENT DAY ARCHITECTURE IS NOT ABLE TO FILL THE CREDIT GAP OF MSMEs?

1

- Existing processes of Banks are designed for a high level of human intervention at each stage i.e., Underwriting, Monitoring and Repayment collection.
- This makes the unit economics unfavourable for loans with smaller sizes, particularly below Rs. 10 Lakhs and also for a short tenure, which is the requirement of MSMEs.

2

- Most lenders have a distribution network skewed towards urban areas but a large proportion of MSMEs are located in semi-urban and rural areas.
- This increases cost of monitoring and servicing for the lenders.

3

- Problem of information asymmetry, especially at the lower end of the spectrum of micro-enterprises, exacerbates the difficulties.
- Most of these enterprises are proprietary and unable to provide the documents required by the lenders.

99% of the MSMEs are micro and small. However, their share in the banking sector credit to industry is merely 13%.



MSME
MICRO, SMALL & MEDIUM ENTERPRISES
सूक्ष्म, लघु एवं मध्यम उद्यम

WHAT ARE THE INITIATIVES IN RECENT TIMES?

- There are several initiatives from the days of Small-Scale Industries (SSI) framework.
- Some of the recent initiatives include:
 - ✓ Stand-up India scheme
 - ✓ SIDBI Udyami Mitra Portal
 - ✓ Mudra Scheme
 - ✓ Mandatory buying of MSME products by PSEs
 - ✓ Public sector bank loans in 59 minutes.

SEVERAL FINTECHS ARE FOCUSING NOW ON MSME LENDING!

- Large number of Fintechs are focusing on solving the problems associated with MSME lending.
- They aim to reduce transaction costs and turnaround time by leveraging technology and accessing newer type of customer data to develop innovative underwriting models.



OCEN IS THE INITIATIVE TO DEMOCRATISE LENDING!

OPEN CREDIT ENABLEMENT NETWORK (OCEN)

- It is a credit protocol infrastructure built by the Indian Software Product Industry Roundtable (iSpirt), a think-tank of the software industry.
- It is expected to democratize the lending ecosystem.
- OCEN as a credit rail will have a common language and connecting lenders and marketplaces allowing them to create innovative credit products and services on top of it.

WHAT NANDAN NILEKANI HAD TO SAY ON OCEN?

- Democratizing credit in India is the need of the hour. Indian fintech industry now become a global hot bed for innovation.
- According to him, credit has a larger role for lubricating small businesses with capital.



OPEN CREDIT ENABLEMENT NETWORK (OCEN) FOR SIMPLE UNDERSTANDING



- 1** It promises to be a long awaited vaccine to cure the problems.
- 2** It will be a digital public infrastructure and provides building blocs for the emergence of
 - A credit market place
 - Lenders
 - Loan service providers
 - Technology and Data analytics firms.
 - Account aggregators etc.
- 3** The above can become part of this market place by plugging into it using application programming interfaces provided by OCEN.

KEY ROLE TO BE PLAYED BY ACCOUNT AGGREGATORS



1 Account aggregators are the entities that can be authorized by borrower to fetch financial data from different sources and share it with lenders.

2 ➤ Existing source of data for account aggregators include

- ✓ Income tax returns
- ✓ GST network invoices
- ✓ Bank statements
- ✓ Credit Bureau records
- ✓ Mutual fund statements
- ✓ Insurance details etc.

3 Increased adoption of digital payments by individuals and small businesses, growth of e-commerce platforms and payment gateways has made newer streams of high quality data available. Such data is expected to become available through OCEN.



LOOK AT CASH FLOWS!

- The primary method of credit assessment also needs to change from a collateral-focussed approach to cash flow-focused.
- Microfinance institutions have amply demonstrated the success of cash flow-based lending.

OCEN HOLDS A GREAT PROMISE!

- With increasing digitisation of every sphere of economic activity in India, OCEN holds a great promise for the future.
- Realization of the full potential of OCEN will be highly beneficial to MSMEs.
- However, it may take sometime to adjust to the new reality.

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For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

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98499 42299